



Time: 5 minutes

Outcome: Calculate multiplier effects and evaluate crowding out.

Difficulty: ●●○ Intermediate

Fiscal Multipliers and Crowding Out



THE CORE IDEA

A spending or tax change can create a multiplied demand response, while higher interest rates can crowd out part of the expansion. Fiscal policy can shift AD right, the multiplier can push it farther, and crowding out can pull the final effect back. Crowding out offsets fiscal expansion by reducing private investment when interest rates rise. Crowding out reduces private investment when fiscal expansion raises interest rates. In the simple fixed-price model with lump-sum taxes and no import leakage, the spending multiplier is $1 / (1 - MPC)$, and the tax multiplier is $-MPC / (1 - MPC)$.



HOW TO RECOGNIZE IT

- Initial fiscal shift, multiplier expansion, then crowding out offset.
- Crowding out offsets fiscal expansion by reducing private investment when interest rates rise.
- Crowding out reduces private investment when fiscal expansion raises interest rates.
- Crowding out occurs when higher interest rates reduce private investment spending.

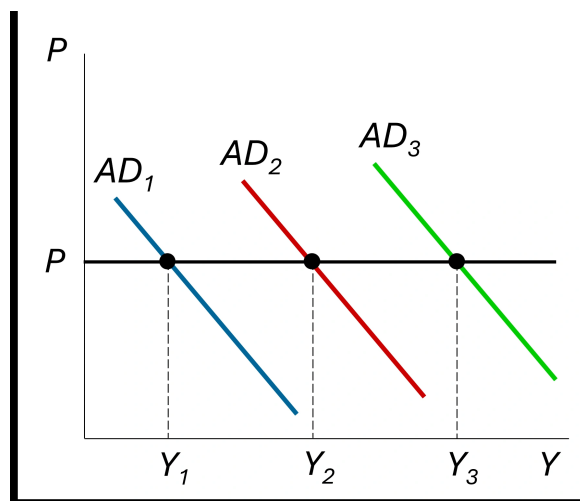


WATCH OUT

A common mistake is to report a gross multiplier effect without subtracting private spending displaced by higher interest rates. Crowding out makes the net demand increase smaller.



WORKED EXAMPLE: MULTIPLIER VERSUS CROWDING OUT



With $MPC = 0.8$, the simple spending multiplier is 5. A \$20 billion increase in purchases raises demand by \$100 billion before offsets. In the graph, AD_1 to AD_3 is the gross expansion; crowding out leaves AD_2 . At fixed P , real output demanded rises to Y_2 rather than Y_3 . Actual equilibrium output also depends on aggregate supply.



CHECK YOURSELF

Why might a tax cut have a smaller immediate effect than an equal increase in government purchases?



READY?

Return to the game and master this concept.